

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINES CORPORATION
Respondent

**SM LINE CORPORATION'S RESPONSE IN OPPOSITION TO SAMSUNG
ELECTRONICS AMERICA'S MOTION TO COMPEL AND FOR SANCTIONS FOR
SPOILIATION OF EVIDENCE**

Pursuant to 46 C.F.R. §§502.69 and 502.71, SM Line Corporation ("SM Line"), through undersigned counsel, respectfully submits this Response in Opposition to Samsung Electronics America, Inc.'s ("SEA") Motion to Compel and for Sanctions for Spoliation of Evidence ("Motion"). For the reasons set forth below, the Motion should be denied.

I. SUMMARY OF RELEVANT FACTS

a) SM Line took specific steps to identify, locate, and to produce the documents relative to SEA's claim

Upon receiving the complaint filed by SEA on April 19, 2023 and after consulting with counsel, on or about April 27th, 2023, the US Office of SM Line contacted the head office of SM Line in Korea seeking immediate cooperation to collect all data related to SEA containers carried by SM Line during the reparation period.¹ The communication in question was sent to approximately 20 key management personnel and department managers.²

¹ See Exhibit A, Declaration by W. C. Shin, ¶ 3.

² See Exhibit A, Declaration by W. C. Shin, ¶ 4.

The legal and insurance department of SM Line in the Korea office, via the legal manager, W.C. Shin, undertook the task of coordinating the process of collecting the documents from the employees of the Korea office.³

On or about May 1, 2023, Mr. Shin initiated and led a series of in-person meetings for the purpose of specifically addressing the claims alleged by SEA and SM Line's response to the same.⁴ Out of various topics covered in these meetings, the participants to the meetings were asked to: (a) identify the individual staff members that would maintain relevant information about the dispute between SEA and SM Line, and (b) to ask those staff members to gather any relevant communications and documents in their control.⁵ Follow-up meetings on the same subject were then held on Fridays—on a weekly basis—as well as additional meetings on an as-needed basis, mostly involving the additional document requests by SEA.⁶

In the US Office, the document collection was coordinated by SM Line employee Yeonhui Yi.⁷ Yeonhui Yi testified that she was asked by K.K. Choi to “preserve, collect and provide relevant documents” with respect to the claims by SEA.⁸ The collection was initiated pursuant to the request by the undersigned counsel for SM Line.⁹ In order to facilitate the document collection, SM Line set up a shared drive folder in which all SM Line employees could upload the relevant documents.¹⁰ Yeonhui Yi requested documents from the employees of SM Line, and the employees in turn would upload the documents onto the shared drive folder. Yeonhui Yi would assemble the collected documentation and transmit the materials to counsel for SM Line.¹¹

³ See Exhibit A, Declaration by W. S. Shin, ¶ 5.

⁴ See Exhibit A, Declaration by W. S. Shin, ¶ 6.

⁵ See Exhibit A, Declaration by W. S. Shin, ¶ 7; See Exhibit B: transcript of the deposition of Sung-Hyun Kim, p. 14, lines 7-17; See Exhibit C: transcript of the deposition of Ki-Up Kim, p. 13, line 8 to p. 15, line 8.

⁶ See Exhibit A, Declaration by W. S. Shin, ¶ 8.

⁷ See Exhibit D: transcript of the deposition of Yeonhui Yi, p. 87, lines 6-15

⁸ See Exhibit D: transcript of the deposition of Yeonhui Yi, p. 93, lines 17-21.

⁹ See Exhibit D: transcript of the deposition of Yeonhui Yi, p. 91, line 16 – p. 92, line 7.

¹⁰ See Exhibit D: transcript of the deposition of Yeonhui Yi, p. 89, lines 8-14

¹¹ See Exhibit D: transcript of the deposition of Yeonhui Yi, p. 87, lines 6-15, and p. 88, lines 10-14.

- b) **The search was completed and the documents were turned over on a rolling basis starting on August 15, 2023. Due to SEA's continuous request for more information, the last batch of production took place on March 18, 2024.**

Each of the 13 SM Line witnesses that were questioned about this subject testified that they were asked to search and collect documents and communications relevant to SEA's claim and that they have produced "all documents and communications" in their possession, custody and control that were pertinent to this litigation. All of those documents were delivered either to Yeounhui Yi or directly to counsel for SM Line.¹²

SM Line employees working in the Korea office testified specifically that they performed "multiple" document searches using search terms that included: "Samsung, SEA, Samsung Electronics, demurrage and detention, and, also, manual"¹³, and testified to the searches being "broad and thorough."¹⁴ These individuals included team leaders who transmitted the requests for documents and coordinated the collection for their entire teams.¹⁵

As a result of the searches performed by the employees of SM Line upon request by counsel, SM Line produced in excess of **53,000** documents in this proceeding. The documents include email communications from approximately **120** current and former employees of SM Line. This corresponds to approximately 60 to 65% of the employee population of SM Line through the years of 2020, 2021 and 2022.

¹² See Exhibit E: transcript of the deposition of Joan Gaston, p. 34, lines 12-16; Exhibit F: transcript of the deposition of Chian Ma, p. 32, lines 12-24, p. 33, lines 14-22; Exhibit G: transcript of the deposition of Christopher Solarez, p. 40, line 23 to p. 41, line 5; Exhibit D: transcript of the deposition of Yi Yeonhui, p. 84 line 21 to p. 85, line 3; Exhibit H: transcript of the deposition of K.K. Choi, p. 104, lines 4-8; Exhibit I: transcript of the deposition of K.K. Choi as 143(b)(6) witness, Vol. II, p. 163, lines 8-13; See Exhibit B: transcript of the deposition of Sung-Hyun Kim, p. 12, line 22 to p. 13, line 2; p. 14, line 7 to p. 15, line 12; See Exhibit J: transcript of the deposition of Sarah Lee, p. 92, lines 2-10; See Exhibit K: transcript of the deposition of Hyung-Yong Hung, p. 18, line 23 - p. 19 line 14; p. 20, lines 4-12; See Exhibit L: transcript of the deposition of Kwangsoo Oh, p. 18, lines 12-15; See Exhibit M: transcript of the deposition of Ho-Yoon Kim, p. 22 line 19 to p. 23, line 10; See Exhibit C: transcript of the deposition of Ki-Up Kim, p. 13, line 8 to p. 15, line 8; See Exhibit N: transcript of the deposition of Ki-Yong Kim, p. 12, line 18 to p. 13, line 10.

¹³ See Exhibit B: transcript of the deposition of Sung-Hyun Kim, p. 14, line 7 to p. 15, line 12.

¹⁴ See Exhibit C: transcript of the deposition of Ki-Up Kim, p. 13, line 8 to p. 15, line 8.

¹⁵ See Exhibit B: transcript of the deposition of Sung-Hyun Kim, p. 14, line 7 to p. 15, line 12; See Exhibit M: transcript of the deposition of Ho-Yoon Kim, p. 22 line 19 to p. 23, line 10.

c) SM Line has a long-standing email retention policy pursuant to which emails older than 90 days are deleted

Since at least 2017, and as confirmed by SM Line's Head of Information Technology, Won-Mo Lee, SM Line has had in place an email retention policy pursuant to which all emails that are over 90 days old are automatically deleted.¹⁶ A service contract between SM Line and Imoxicon, the IT service provider for SM Line, dated April 5, 2017, establishes that the 90 day retention policy was in place since 2017 (if not earlier), and that it applies to all email communications older than 90 days.¹⁷

Won-Mo Lee has worked in SM Line's IT department since January 2017.¹⁸ Since that time, Mr. Lee has been responsible for the implementation and enforcement of the 90-day email retention policy within SM Line.¹⁹ As declared by Mr. Lee, this policy is "strictly enforced" in SM Line's Korea's office and was enforced throughout the entire relevant period from January 1, 2020 until April 19, 2023.²⁰

SM Line's email retention policy is motivated by reasons of efficiency, and it prevents the cost of maintaining unreasonably large amount of data for a prolonged amount of time from skyrocketing beyond control.²¹ The 90-day email retention policy has been applied indiscriminately and it is a sound business technique that is standard in the market.²²

The existence and enforcement of the 90-day email retention policy was confirmed by SM Line employees located in the main office in Korea.²³

¹⁶ See Exhibit O, Declaration by Won-Mo Lee, ¶¶ 3 and 4.

¹⁷ See Exhibit O, Declaration by Won-Mo Lee ¶5, and Exhibit 1 to the Declaration of Won-Mo Lee Improvement Proposal and Service Contract between SM Line and Imoxicon, pp. 14, 53.;

¹⁸ See Exhibit O, Declaration by Won-Mo Lee, ¶ 1.

¹⁹ See Exhibit O, Declaration by Won-Mo Lee, ¶ 7.

²⁰ See Exhibit O, Declaration by Won-Mo Lee, ¶ 8.

²¹ See Exhibit O, Declaration by Won-Mo Lee, ¶ 10.

²² See Exhibit O, Declaration by Won-Mo Lee, ¶ 11.

²³ See Exhibit K: transcript of the deposition of Hyung-Yong Hung, p. 21, line 10 to p. 22, line 3; See Exhibit B: transcript of the deposition of Sung-Hyun Kim, p. 16, lines 6-14.

d) SM Line's Korea office was not involved with the approval of demurrage and detention charges collected from SEA for the subject shipments

The billing and collection of demurrage and detention was the responsibility of the regional office competent by territory.²⁴ For the shipments at issue in the present proceeding, the main regional office in the United States was the one located in Chandler, Arizona.²⁵

The Chandler regional office was responsible for all aspects of the billing and collection of demurrage and detention charges incurred in the US. That office issued invoices to the costumers, investigated reasons for delays in payment of the demurrage and detention charges by the costumers, maintained contact with the customers and attempted collection either directly or via a third-party agency.²⁶

Only in the event SM Line clients were to seek a discount or inactivation of a demurrage or detention charge, and such request involved an amount above [REDACTED] (which later became [REDACTED]), the request would then be transferred to the head office in Korea for approval.²⁷

SEA has not presented any evidence of SEA requesting a discount of a demurrage or detention charge issued by SM Line, nor any evidence of SEA requesting SM Line for the inactivation of a demurrage or detention charge that was not approved in full by SM Line.²⁸ Ironically, the underlying cause for there being a lack of demurrage and detention claim records with SEA is because during the subject period, SEA's personnel were approving payment of all demurrage and detention charges to

²⁴ See Exhibit 8 to the Motion, SM Line Demurrage and Detention Management and Procedure, pp. 6, 10 (Bates N. SM Line_0110085, SM Line_0110089).

²⁵ See Exhibit P: transcript of the deposition of Andrea Askins, p. 94, line 7 to p. 95, line 2.

²⁶ See Exhibit 8 to the Motion, SM Line Demurrage and Detention Management and Procedure, pp. 10-14 (Bates N. SM Line_0110089-SM Line_0110093).

²⁷ See Exhibit 8 to the Motion, SM Line Demurrage and Detention Management and Procedure, p. 6, 18 (Bates N. SM Line_0110085, SM Line_0110097); See Exhibit Q: transcript of the deposition of K.K. Choi as 143(b)(6) witness, Vol. III, p. 214. Line 19 to p. 215 line 14; p. 218, lines 2-4 and lines 7-22.

²⁸ In the order issued by e-mail on March 4, 2024, the Court made it clear that SEA is expected to demonstrate "specific documents or categories of documents that came to light during the depositions and why they believe those documents exist."

all steamship lines, including SM Line.²⁹ Had SEA raised a flag to SM Line's invoices, then there would have been a basis to open claim files.

Prior to the demand letter dated September 26, 2022 ("Demand Letter"), SEA disputed only a nominal amount, if any, of the demurrage or detention charges paid by SEA during the reparation period. As such, there was no need for the SM Line personnel working in the Chandler regional office to contact the head office in Korea requesting approval of discounts or inactivation of demurrage and detention charges.

The critical point in this motion is that the Demand Letter was SEA's first attempt to dispute the demurrage and detention charges paid to SM Line and other third-parties during the previous three years.

e) SM Line did not obscure the identities of any email custodian and SEA was aware of the role of SM Line's office in Korea during the discovery period

Regardless of the fact that the head office in Korea was not involved with approving any of the charges in dispute – because substantially none of these charges were ever disputed by SEA prior to September 26, 2022-- SEA became aware of the potential involvement of SM Line employees in Korea with demurrage and detention early in this litigation.

The Demurrage and Detention Management Procedure that SEA attached as Exhibit 8 to their Motion was produced by SM Line on October 17, 2023 in response to SEA's first set of discovery demands. Moreover, beginning in December 19, 2023, multiple SM Line witnesses testified to the fact that the process of disputing or approving requests for inactivation of charges or discounts required the involvement of the headquarters in Korea.³⁰

²⁹ See Exhibit R: transcript of the deposition of Maria Fernando, p. 151, line 5 to p. 152, line 8; See Exhibit S: transcript of the deposition of Michael Rapske, p. 39, lines 5-23;

³⁰ See Exhibit E: transcript of the deposition of Joan Gaston, p. 58, line 8 to p. 59, line 1; See Exhibit D: transcript of the deposition of Yeonhui Yi, p. 115, line 12 to p. 116, line 6; See Exhibit L: transcript of the deposition of Kwangsoo Oh, p. 103 lines 1-13; See Exhibit Q: transcript of the deposition of K.K. Choi as 143(b)(6) witness Vol. III, p. 215, line 19 to p. 216, line 2.

Lastly, since the early document productions, SM Line did ,in fact, include email communications to and among SM Line employees working in the head office in Korea.

II. ARGUMENT

Fed. R. Civ. P. 37(e) (the “Rule”) offers remedies in the event parties fail to take reasonable steps to preserve Electronically Stored Information (“ESI”) that should have been preserved in the anticipation or conduct of litigation where such ESI is lost and cannot be restored or replaced through additional discovery.

Where a court finds that a party failed to preserve ESI in violation of Fed. R. Civ. P. 37, it might grant the following remedies to the aggrieved party:

1. Order “measures no greater than necessary” to cure whatever prejudice a party might have suffered from the loss of the information; or
2. Make a presumption that the lost information was unfavorable to the aggrieved party.³¹
Noting, this remedy can only be granted “upon finding that the party acted with the intent to deprive another party of the information's use in the litigation”. Fed. R. Civ. P. 37.

Courts have further interpreted the Rule by requiring that a finding of spoliation be based on a showing by preponderance of the evidence that “the party having control over the evidence had an obligation to preserve it at the time it was destroyed; ([ii]) [that] the records were destroyed with a culpable state of mind; and ([iii]) [that] the destroyed evidence was relevant to the party's claim or defense such that a reasonable trier of fact could find that it would support that claim or defense.” *Klipsch Grp., Inc. v. ePRO E-Com. Ltd.*, 880 F.3d 620, 628 (2d Cir. 2018).

SEA has clearly failed to satisfy its burden of proof under the test because it did not present any evidence whatsoever that:

³¹ Fed. R. Civ. P. 37(e)(2) lists also the possibility of instructing a jury that it may or must presume the information was unfavorable to the party, and the possibility of dismissing the action or entering a default judgment, but neither of those remedies are invoked by SEA in the Motion.

1. SM Line was under a duty to preserve ESI at a time when SM Line was still in possession or control of any ESI that was allegedly relevant to the subject claims;
2. Any ESI that was relevant to the subject claims ever existed and was later destroyed while SM Line was under a duty to preserve it;
3. Destruction of the ESI, if any, was due to SM Line's failure to take reasonable steps to preserve said ESI;
4. SM Line destroyed any ESI with a culpable state of mind; and/or
5. The destruction of any ESI that existed caused prejudice to SEA in a way that this Court would find that the destroyed ESI would have supported SEA's claims.

a) SM Line was not under a duty to preserve evidence until April 19, 2023

"[T]he obligation to preserve evidence arises when the party has notice that the evidence is relevant to litigation or when a party should have known that the evidence may be relevant to future litigation." *In re Keurig Green Mountain Single-Serve Coffee Antitrust Litig.*, 341 F.R.D. 474, 494 (S.D.N.Y. 2022) (quoting *Fujitsu Ltd. v. Fed. Express Corp.*, 247 F.3d 423, 436 (2d Cir. 2001) (internal quotation marks omitted)).

Generally, it is the filing of a lawsuit that triggers the duty to preserve evidence. *Victor Stanley, Inc. v. Creative Pipe, Inc.*, 269 F.R.D. 497, 522 (D.Md.2010).

"[A] vague or far-off possibility" of litigation is *insufficient* to trigger the duty to preserve". *Steves & Sons, Inc. v. JELD-WEN, Inc.*, 327 F.R.D. 96, 106 (E.D. Va. 2018)(emphasis added).

Even the caselaw cited by SEA in the Motion does not support that SM Line was under an obligation to preserve evidence prior to April 19, 2023. On page 11 of the Motion, SEA cites to *Zhi Chen v. District of Columbia*, 839 F. Supp. 2d 7 (D.D.C. 2011). A case that is also cited in the initial order by Judge Wirth. In *Zhi Chen*, the party claiming spoliation had immediately given an express warning to the potential defendant not to destroy evidence. *Zhi Chen v. D.C.*, 839 F. Supp. 2d 7, 11

(D.D.C. 2011). In the Demand Letter of September 26, 2022, SEA did not include any warning or request to SM Line to preserve evidence.³²

SEA also cites to *Does 1-5 v. City of Chicago*, Case No. 18-cv-03054, 2019 WL 2994532, at *4 (N.D. Ill. July 9, 2019). In that case, the factual circumstances that the Court took into consideration to determine that a party was under a duty to preserve evidence in anticipation of litigation were different. The Court in *Does 1-5* specifically mentioned two factors that led to a determination that a duty to preserve evidence existed, namely that: (1) the demand letter was sent through outside counsel, which the Court recognized it emphasized the seriousness of the intent to sue, and (2) the demand letter specifically stated that the aggrieved party would seek “immediate legal action.” *Does 1-5*, 2019 WL 2994532, at *4.³³

SEA’s Demand Letter was sent by SEA, on SEA’s letterhead, and not by counsel for SEA. It did not contain any indication that SEA would seek imminent, let alone immediate, judicial action. On the contrary, the Demand Letter expressly left the door open to future negotiation by stating that SEA “prefers to reach a private and amicable resolution on mutually-acceptable terms.”³⁴

Lastly, SEA cites to *Leon v. IDX Sys. Corp.*, 464 F.3d 951 (9th Cir. 2006), but fails to note that in that case the destruction of the disputed evidence occurred *after* the lawsuit had already been brought. *Id* at 959. SM Line submits that the *Leon* case is entirely unsupportive of SEA’s position and additional discussion and analysis of such case would be futile.³⁵

SEA’s argument that the Demand Letter was sufficient to give rise to a duty for SM Line to preserve evidence prior to the filing of the Complaint on April 19, 2023 fails for several reasons: (1)

³² See Exhibit 1 to the Motion.

³³ The *Does 1-5* Court mentioned a third factor which related to the seriousness inherently associated with an allegation of sexual harassment, but that factor is clearly irrelevant in this proceeding.

³⁴ See Demand Letter, Exhibit 1 to the Motion.

³⁵ In the same section, SEA cites also to *Compass Bank v. Morris Cerullo World Evangelism*, 104 F. Supp.3d 1040, 1051 (S.D. Cal. 2015). While in that case the destruction of the evidence happened before the action started, the Court based its finding that a duty to preserve existed on the destructing Party’s own admission that litigation was reasonably anticipated at the time of the destruction. SM Line respectfully submits that the difference between that situation and the dispute at hand is so stark that there is no need to expressly address the case in the body of this Opposition.

The Demand Letter did not warn SM Line to preserve evidence, (2) the Demand Letter was not sent by counsel, and (3) the Demand Letter did not contain any indication of SEA's intention to file an imminent or immediate legal action. On the contrary, (4) the Letter invited further settlement discussions which were indeed held in the months that followed.

b) SEA has failed to show that relevant ESI existed at the time of the alleged destruction

It is a statement that approaches the obvious that, "there is no duty to preserve that which does not exist." *Does 1-5*, 2019 WL 2994532, at *4.

SEA's Motion goes to great lengths to try and persuade the Court to issue ultimate and extreme sanctions on SM Line by arguing that SM Line deliberately destroyed evidence with the intent of damaging SEA. Unfortunately for SEA, their argument fails much earlier in the analysis as SEA has not shown that any of the internal communications between the SM Line employees working in the Korea headquarters are relevant to this dispute.

As indicated in the Demurrage and Detention Management Procedure³⁶ and as testified to by SM Line employees,³⁷ SM Line's regional office in Chandler, Arizona was responsible to bill and collect demurrage and detention charges for shipments to be delivered in the US. SM Line headquarters in Korea would only get involved in the event SM Line costumers would request discounts on, or inactivation of, demurrage and detention charges in excess of a certain dollar amount.

In this entire litigation, let alone in this Motion, SEA has yet to show a single instance in which SEA requested a discount on, or an inactivation of, a demurrage or detention charge of SM Line relative to a shipment in dispute, and that SM Line refused it.

This failure by SEA is not cured by any of the exhibits that SEA attached to the Motion.

Exhibit 25 to the Motion contains an email from Gold Point trucking company to SM Line in which Gold Point informs SM Line that they requested a waiver of detention charges to TRAC. The

³⁶ See Exhibit 8 to the Motion, SM Line Demurrage and Detention Management and Procedure.

³⁷ See Exhibit P: transcript of the deposition of Andrea Askins, p. 94, line 7 to p. 95, line 2.

charges in question are identified in TRAC Intermodal AR Invoice 10111971. Gold Point disputed this charge on November 17, 2021, and TRAC waived this charge in full on November 24, 2021.³⁸ SM Line was not the party that waived the charges and, to date, no dispute exists over these charges. Lastly, it was not SEA that requested the waiver, so the request by Gold Point is irrelevant with respect to the claims brought by SEA in this proceeding.

Exhibit 26 to the Motion contains a request for a waiver of detention charges sent by Samsung SDS to SM Line on September 16, 2021. The charges in dispute were evidenced by invoice N. LGT034298 issued by SM Line to Gold Point and were relative to SM Line Bill of Lading N. SMLMPHX1B1397300.³⁹

As can be seen from Bill of Lading N. SMLMPHX1B1397300, a copy of which is attached hereto as Exhibit U, the Bill of adding involved transportation of goods from the port of Los Angeles to Busan, Korea. The bill of lading identifies Samsung International, Inc., as the shipper. The consignee and notify party was Samsung Electronics Co., Ltd. *SEA is not a shipper or consignee of this shipment.* SEA was never involved with this shipment and, as such, cannot seek any reparation with respect to this shipment. The booking note for this shipment, previously produced and bearing Bates number SM Line_0059877, issued by SM Line, clearly identifies this shipment as a one on behalf of Samsung International, Inc. and not on behalf of SEA.⁴⁰ Again, SEA failed to demonstrate that there exists a document that SM should have, but failed to produce. As such, SM Line had no duty to provide discovery with respect to this move because it did not involve SEA. For sake of completeness, Invoice N. LGT034298, a copy of which is attached hereto as Exhibit W clearly refers to Bill of Lading N. SMLMPHX1B1397300.⁴¹

³⁸ See Exhibit T, email exchange with TRAC re: TRAC Intermodal AR Invoice 10111971.

³⁹ See Exhibit 26 to the Motion.

⁴⁰ See Exhibit V, Booking Receipt Notice for B/L SMLMPHX1B1397300 (Bates N. SM Line_0059877).

⁴¹ See Exhibit W, SM Line invoice N. LGT034298; See Exhibit U, SM Line Bill of Lading N. SMLMPHX1B1397300.

Finally, Exhibit 28 to the Motion contains an email exchange between SM Line and “Samsung SDSA” in which Samsung SDSA requested the inactivation of a series of charges. SEA was not a party to the carriage. SEA has made it clear that Samsung SDSA is not part of the SEA organization. Similar to Exhibit 26 above, SEA is lamenting that no follow-up email was found in SM Line’s production addressing the request for a waiver. As for Exhibit 28 above, SM Line did not produce any documentation relative to these requests because every single one of the charges in question involved a shipment that is not at issue in this proceeding. As shown by the copies of the invoices relative to these shipments, attached hereto as Exhibit X, all of the shipments in question were *destined to Canada* and not to the United States. The invoiced party is Samsung Electronics Canada Inc., and the payor of these charges was Samsung SDS GSCL Canada Ltd. As such, the shipments and corresponding charges fall outside of the scope of this proceeding.

In conclusion, SEA, in making a serious accusation of spoliation of evidence, and seeking sanctions against SM Line, has failed to provide any substantive evidence that SM Line failed to produce material information or documents. SEA has also failed to provide any meaningful evidence that it requested a waiver or a discount of a demurrage or detention charge to SM Line and that SM Line denied it. Given that the employees of SM Line in Korea would only get involved with demurrage and detention charges in the event of a request of discount or inactivation, and above a certain dollar amount, it is unclear what would be the relevance of the internal communications of the employees of SM Line working in the Korea office (other than to allow SEA a fishing expedition).

c) SM Line’s document collection was reasonable and led to a reasonable result

The Advisory Committee Notes issued with the 2015 amendment which introduced Section (e) in Fed. R. Civ. P. 37 are particularly clear as to what is required for sanctions to be issued under Fed. R. Civ. P. 37(e) and the Court will appreciate that none of the requirements exist in the matter at hand.

The Advisory Committee was the first to recognize that perfection in preserving all relevant electronically stored information is often impossible. As such, the consequences set by Rule 37 only trigger when a party failed to take reasonable steps to preserve the information. The Advisory Committee stressed that proportionality is a factor in evaluating the reasonableness of preservation efforts and expressly provided that a party may act reasonably by choosing a less costly form of information preservation if it is substantially as effective as the more costly forms.⁴²

When SM Line asked its employees to gather all relevant documents and communications to be produced in this matter, it did so in the spirit articulated by the Advisory Committee. SM Line does not dispute that, in retrospect, the ideal course of action would have been to assign the task of gathering all documents to a third-party service, but SM Line did not do that at the time, in part because of the dual language and dual jurisdictions (Korea and America) hurdle. SM Line relied on its management to communicate to the employees the need of locating and collecting relevant documents as well as the terms to use when searching for said documents. SM Line identified Yeonhui Yi as the person tasked with coordinating the collection and SM Line issued follow-up instructions to its employees pursuant to requests by SEA and by counsel for SM Line. As a result of this effort, SM Line gathered and produced in excess of 53,000 documents. SM Line respectfully submits that, while SM Line's efforts might not have led to a perfect result, perfection, as the Advisory Committee stated, is not the goal. SM Line's efforts were reasonable in scope and led to a reasonable result.

d) Sanctions are not appropriate pursuant to Fed. R. Civ. P. 37 because the email communications of the Korean employees were destroyed pursuant to a standard practice and without a culpable state of mind.

Long-standing document retention policies that involve the periodic destruction of documents are standard practice in the business world and are not suitable to trigger spoliation. *See Micron Tech., Inc. v. Rambus Inc.*, 645 F.3d 1311, 1322 (Fed. Cir. 2011) "[W]here a party has a long-standing policy of destruction of documents on a regular schedule, with that policy motivated by general business

⁴² See Fed. R. Civ. P. 37, Advisory Committee Note to the 2015 Amendment.

needs, which may include a general concern for the possibility of litigation, destruction that occurs in line with the policy is relatively unlikely to be seen as spoliation.” These policies embody the innocent purpose of undoubted value of “simply limiting the volume of a party's files and retaining only that which is of continuing value.” *Id.* In other words, these policies are the fruit of a “good housekeeping” purpose. *Id.*

i. SEA is not entitled to additional discovery

Even in the event of a failure by a party to take reasonable steps to preserve ESI that should have been preserved in the anticipation of litigation, and in the event such failure led to the loss of such evidence, the initial focus of the Court should be on whether the lost information can be restored or replaced through additional discovery.⁴³ Similarly, as with determining the reasonableness of the efforts required to preserve the evidence in presence of a duty to do so, the efforts to replace or restore lost information through discovery should be proportional to the apparent importance of the lost information to claims or defenses in the litigation.

Here, SEA failed to show a single instance in which SEA sought from SM Line a discount on a demurrage or detention charge issued by SM Line, let alone a waiver, or an inactivation of such charges. On the contrary, until the first demand letter issued in September 2022-- months or even years after the charges were issued and paid—SEA routinely approved the expenses.

The SM Line employees in Korea were never involved in adjudicating requests of inactivation or discounts raised by SEA as there were none. As such, the relevance of their internal communications for the subject period is minimal if not zero. In the balance of proportionality required by Fed. R. Civ. P. 37(e), this should inevitably tilt the balance in favor of the Court denying the Motion and dismissing any claim of spoliation or requests for further discovery that SEA might bring in the future.

⁴³ See Fed. R. Civ. P. 37, Advisory Committee Note to the 2015 Amendment.

ii. SEA is not entitled to adverse inferences

The comment by the Advisory Committee to the 2015 amendment to Fed. R. Civ. P. 37 is clear in stating that the Rule requires actual intent to trigger sanctions. Neither simple negligence nor gross negligence are sufficient; “[a]dverse-inference instructions were developed on the premise that a party’s intentional loss or destruction of evidence to prevent its use in litigation gives rise to a reasonable inference that the evidence was unfavorable to the party responsible for loss or destruction of the evidence. **Negligent or even grossly negligent behavior does not logically support that inference.** Information lost through negligence may have been favorable to either party, including the party that lost it, and inferring that it was unfavorable to that party may tip the balance at trial in ways the lost information never would have”.⁴⁴

SM Line has maintained a long-standing document retention policy since the company’s inception in 2017 and the policy was applied uniformly throughout the years in the Korean office of the company.⁴⁵ This circumstance, by itself, should eliminate any suggestion that SM Line acted with the “culpable state of mind” required by the leading cases in the matter. *See Klipsch Grp., Inc.*, 880 F.3d 620, 628 (2d Cir. 2018).

SEA has not presented any evidence that SM Line acted with intent when it applied its standard document retention policy prior to the filing of the complaint. Indeed, SM Line submits that SEA has not shown that SM Line acted with negligence either. As explained *supra*, SM Line was not under a duty to preserve evidence prior to the filing of the Complaint on April 19, 2023.

Once the Complaint was filed, SM Line acted promptly and began the identification and collection of documents relative to SEA’s claim. It is not SM Line’s fault if SEA delayed the

⁴⁴ Fed. R. Civ. P. 37, Advisory Committee Note to the 2015 Amendment, emphasis added.

⁴⁵ See Exhibit O: Declaration by Won-Mo Lee ¶5, and Exhibit 1 to the Declaration of Won-Mo Lee Improvement Proposal and Service Contract between SM Line and Imoxion, pp. 14, 53.; See Exhibit K: transcript of the deposition of Hyung-Yong Hung, p. 21, line 10 to p. 22, line 3; See Exhibit B: transcript of the deposition of Sung-Hyun Kim, p. 16, lines 6-14.

commencement of the action until mid-2023 when the great majority of e-mail communications to and among SM Line's employees that occurred in the years 2020 through 2022 had already been deleted.

The Court should not ascribe a non-existent intent to damage SEA to SM Line's behavior of continuing with its ordinary and long-standing business practice.

CONCLUSION

SEA brought a Motion to Compel and for Sanctions that appears, by any standard, baseless and frivolous for the reasons stated above. If one were to speculate as to what the actual reason was that led SEA to pursue the Motion, one could look at this request that was buried at the end of the Motion and that had not been addressed before by SEA: on pages 19 and 20 of the Motion, SEA asks the Court to bar SM Line "from arguing that SEA must affirmatively show evidence of specific performance failures that were a cause of, or contributed to, the underlying challenged charges."

It doesn't take a fortune teller to understand SEA's strategy here. As amply shown in this Response, SEA has failed to challenge any of the demurrage and detention charges that SEA approved throughout the years 2020, 2021 and 2022. SEA, to put it simply, cannot prove that there were "specific performance failures" on behalf of SM Line that led to unfair charges being issued to SEA. Instead of accepting that SEA cannot carry the burden of proof as the complainant in this action, SEA is trying to flip the script over a pretext to avoid having to prove their case. It's a clever move, and, in other circumstances, SM Line might applaud the mental gymnastics on display. This, however, is not one of those circumstances. SEA must prove their own case and must do so by providing actual evidence supporting their claim, not by trying to sneak in an adverse inference in the hope that the Court will do their job for them.

For the foregoing reasons Complainant's Motion to Compel should be DENIED.

Dated: April 12, 2024

Respectfully submitted

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SM Line Corporation

Dated: April 12, 2024

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 12th day of April 2024, the foregoing document was served via electronic mail on:

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Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
Presiding Administrative Law Judge
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